

From Marx to Rawls and beyond:

- Or, how I learnt to stop worrying and love “bourgeois” theories to justice

1. Introduction

A common line among Marxist political theorists is that justice is a part of the ideology of capitalism, invented by the ruling class, to exploit and fool the educated bourgeoisie (the middle class). This idea originates from Karl Marx himself, who said several controversial, perhaps confusing things about justice in writing. At some places, Marx suggests that **capitalism is robbery**, while at other places, he says that **capitalism is just**. Together he seems to be suggesting that robbery is just.

In this talk, I will explain what these controversial remarks are about. I will first introduce Marx's theory of exploitation (in its modern form) to make sense of the claim that “capitalism is robbery”. I will explain why the theory of exploitation is not an adequate condemnation of capitalism and why Marx needs a theory of justice. Then I will move on to the discussion of justice, explaining why Marx (wrongly) thought that capitalism is just and introduce a theory of justice by John Rawls.

2. Marx's theory of exploitation

2.1 Why do we need a theory of exploitation?

A **class society** is a society where people are divided into classes. According to Marx, in every class society, a small class becomes wealthy by exploiting the large class of direct producers. So far, humans have witnessed three class societies: slave society, feudal society and capital society.

Slave society is a clear example of class society, where people are divided into the class of slaves and the class of slave owners. Slave owners explicitly exploit slaves by taking away everything slaves produced except what's necessary for slaves to survive.

Marx claims that **capitalism is also a class society where capitalists exploit workers by taking away surplus values created by workers**. But how the exploitation happens in capitalism is far from clear.

In slave society and feudal society, direct military and police suppression of slaves and serfs enabled the lords to appropriate the surplus, leaving only a subsistence consumption for the producers.

Capitalism is different:

1. **Nobody forces the worker to sell his labor** to the capitalist;
2. Labor power is traded on a **competitive market** (at least in the ideal form).
3. Capitalism is based upon **voluntary trade**, with *de jure* **personal freedom**,

Marx proposed the theory of exploitation to solve the mystery about how exploitation happens in capitalism and how a small class becomes wealthy by exploiting the large class of direct producers.

2.2 What is exploitation?

Exploitation, in a nutshell, is an **economic phenomenon** where the masses of workers **work longer** than they would if the capital stock were **collectively owned**, for **the same consumption**. This is best illustrated by a toy economy where there is only one type of good/asset/capital, **corn**.

Toy Economy

A Society of 1000 peasants

Capital Stock: 500 bushels of corns

Two Technologies (Ways of Production):

Factory Farm: k bushels + k days of labor -> 2k bushels

Forest: 3k days of labor -> k bushels

Individual Preferences:

1. Each peasant needs to consume **1 bushel each week**.
2. Once they secure their 1 bushel for that week, they want to take **as many hours as possible in leisure**.
3. Peasants are **indifferent** about working in Factory Farm vs in Forest.

In aggregate, the society needs to produce at least 1000 bushels each week for consumption without reducing their capital stock.

Solution 1: Egalitarian Solution with Common Ownership of Capital

Assumption about Capital Ownership:

500 bushels are collectively owned. Outcomes of productions are pooled and shared by all members of society.

Production Arrangement:

Each week, 250 peasants work 2 days in Factory Farm, 750 peasants work 2 days in Forest.

Outcome:

1. In aggregate, each week 500 bushels are used for production, 1500 bushels are produced. 1000 bushels are consumed while the remaining 500 bushels replace the capital stock.
2. Each week, each individual gets 1 bushel for consumption.
3. Each week, each individual works 2 days and spends 5 days in leisure.

Solution 2: Exploitation under takes place.

Assumption about Capital Ownership:

10 capitalists: each own 50 bushels.

990 peasants who own no asset.

Preference:

Each individual still wants to consume 1 bushel each week.

Capitalists want to maintain their capital stock, or better, expand them.

There will be a Labor Market, where peasants sell their labor to capitalists.

Claim: Equilibrium wage (in bushels) $\omega = 1/3$ (which equals the yield from each day of labor from Forest).

1. $\omega \leq 1$. 1 day labor + 1 bushel $\rightarrow$ 2 bushels. Capitalists will not buy labour at price higher than 1.
2. If $\omega < 1/3$, peasants are better off going into Forest by themselves. No peasant would want to sell labor to capitalists. Meanwhile, the total demand for labor from capitalists is 500 days. The excess demand (500 vs 0 supply) will push up wages.
3. If $\omega > 1/3$, peasants are strictly better off selling labor than going into Forest. Each peasant would want to sell $1/\omega$ days of labor to get 1 bushel for consumption and spend the rest of the week in leisure. Total supply of labor is $1/\omega * 990$, which is greater than 500 (demand) for any ω between $1/3$ and 1. The excess supply will drive down wages.

Supply = $1/\omega * 990 \in [990, 2970]$

Supply of labor is $1/\omega * 990 \in [990, 2970]$

Desired work day per person $1/\omega$

People who want to sell their labor = 990

Capital Supply determines labor demand.

一人天 为一个单位的labor

Demand = 500

Outcome:

1. Each week, each peasant gets 1 bushel for consumption.
2. Each week, each peasant works 3 days and spends 4 days in leisure.
3. Each capitalist ends up with 100 bushels, among which 50 bushels replace her capital stock, 16.7 (50/3) bushels are paid out as wage, and 33.3 bushels are profits.

Capitalist: Keep 50 bushels they originally had, pay out 16.7 as wage, make 33.3 as profit.

In Solution 2, each peasant works 1 extra day for the same level of consumption (1 bushel per week). This 1 extra day spent by each peasant is called **surplus labor** by Marx. The existence of surplus labor is **exploitation**. In other words, with **private and unequal ownership** of the capital stock, peasants must work 50 percent longer for the same consumption they receive in the egalitarian economy with common ownership of capital.

Remarks:

1. Private ownership alone is not enough for exploitation to take place. **The ownership must also be unequal.** If the capital is equally distributed, there will not be exploitation. Each individual will spend 0.5 day in Factory Farm with their own capital stock and 1.5 days in Forest, to get 1 bushel. Even if some individual hires others to work for them while they go to the Forest themselves, everyone will still be working 2 days per week. (Details in appendix.)
2. **Capital must be relatively scarce to labor.** If the total capital is 3000 bushels, even if still owned by 10 capitalists, the total demand of labor will be 3000 days for each week. The total demand will exceed the total supply, pushing equilibrium wage to 1 bushel per hour, in the absence of a coalition among capitalists.
3. The market labor can be replaced by a rental market, where capitalists lend bushels to peasants for interests.

In fact, missing any one of the three conditions (unequal private ownership, relative scarcity of capital, market mechanism), exploitation will not take place.

2.3 Is exploitation a bad thing? Why?

Exploitation as defined, as well as the three conditions behind it, are purely descriptive.

A neoclassical economist can easily agree with all the discussion so far. It just shows that the peasants pay an extra day of work to capitalists to access the technology (Factory Farm) that makes their labor more productive.

Marx apparently thinks that exploitation is bad but he didn't provide too many convincing reasons for why.

Marx's best attempt at answering this question is in the last part of *Capital*, volume 1, called "The Primitive (or Original) Accumulation of Capital," arguing, based upon his research in the British Museum on the history of British capitalism, that capital was accumulated not by hard work or entrepreneurial innovation, but by robbery, enclosure of the peasant common lands, and plunder.

So basically, Marx's argument is that exploitation is bad because its key underlying condition, the unequal distribution of capital, comes with some original sin. While this may be factually true, it is not a very convincing argument. This argument can at best show that exploitation under some circumstances is bad. It is far from showing capitalism is bad. Would capitalism stop being bad if all original accumulation of capital is via hardwork and savings?

In my view, Marx found that there is something wrong about capitalism. But Marx does not have the vocabulary to express what he thinks is wrong with capitalism. Calling capitalism robbery, which Marx did repeatedly, is not very helpful. That missing vocabulary is justice.

2.4 Justice at the transaction level

Marx knows the word 'justice'. In fact, Marx at places said that capitalism is not unjust. This becomes particularly confusing when seen in conjunction with his claim that capitalism is robbery.

The reason why Marx calls capitalism just has something to do with how Marx uses this word 'just'.

1. Traditionally, 'just' is an attribute of a person or an action, just like 'brave'. This is the traditional meaning of the word 'just', originating from Ancient Greek. A person is a just person, if she treats other people to their dues, i.e., giving each person what they deserve, in facing a conflict, say how to divide a cake. Some specific action can be just or unjust, just like some specific action can be brave or unbrave.

Marx thinks that capitalism is just, in this sense, since all transactions, at least in the ideal form of capitalism, are voluntary and thus exchange of equal values. There is no injustice involved in the labor market, where workers sell their labors to capitalists in exchange for bushels of corn. This observation is indeed the original motivation for a theory of exploitation.

2. Another reason behind is that Marx thinks that the conception of justice, just like laws, is also part of capitalism's superstructure. The conception of justice is formed in capitalism society to serve the purpose of capitalism society. Capitalism is just for the same reason why capitalism is legal. It's just/legal in its own words.

By calling capitalism robbery, Marx wants to point out that there is something structurally wrong about capitalism, despite that it's fine at the transaction level. Looking at each transaction in a capitalist society, it's all just, voluntary, etc. But structurally, it's bad. The theory of exploitation is Marx's best attempt to get at capitalism's structural badness. It's a truly impressive attempt.

But as discussed above, Marx does not have a conceptual framework for why exploitation is bad in itself.

3. Rawls: Justice as a Virtue of the Basic Structure of Society

100 years later, an American liberal philosopher, John Rawls, provided a comprehensive framework for criticizing society at the structural level.

Rawls explicitly gave the word 'justice' a new meaning. For Rawls, justice is a virtue of the basic structure of society. The basic structure of society, instead of a person or an action, is subject to the evaluation of being just or unjust.

John Rawls' *A Theory of Justice*, since its publication in 1971, has dominated Anglophone political theory. Every single page of the book has been debated over. I just want to cover some of the basic elements of it.

What is the theory about?

It's about what counts as a just arrangement of the basic structure of a liberal society. What is the basic structure is widely debated, but typically covers: the political constitution, the legal system, the economy, the family structure, among other things. f

The Two Principles of Justice as Fairness

First Principle: Each person has the same inalienable claim to a fully adequate scheme of equal basic liberties, which scheme is compatible with the same scheme of liberties for all;

Second Principle: Social and economic inequalities are to satisfy two conditions:

1. They are to be attached to offices and positions open to all under conditions of fair equality of opportunity;
2. They are to be to the greatest benefit of the least-advantaged members of society (the difference principle).

Some important building blocks

Some people have access to more resources.

Primary Good.

What Justifies These Principles?

Social contract under fair conditions.

Veil of ignorance

Why does the basic structure of society needs to be just?

The basic structure is the location of justice because these institutions distribute the main benefits and burdens of social life: who will receive social recognition, who will have which basic rights, who will have opportunities to get what kind of work, what the distribution of income and wealth will be, and so on.

In setting out justice as fairness, Rawls assumes that the liberal society in question is marked by reasonable pluralism as described above, and also that it is under reasonably favorable

conditions: that there are enough resources for it to be possible for everyone's basic needs to be met. Rawls makes the simplifying assumption that the society is self-sufficient and closed, so that citizens enter it only by birth and leave it only at death. He also confines his attention mainly to ideal theory, putting aside non-ideal theory such as on criminal justice.

Social cooperation in some form is necessary for citizens to be able to lead decent lives. Yet citizens are not indifferent to how the benefits and burdens of cooperation will be divided amongst them. Rawls's principles of justice as fairness articulate the central liberal ideas that cooperation should be fair to all citizens regarded as free and as equals. The distinctive interpretation that Rawls gives to these concepts can be seen as combining a negative and a positive thesis.

The form of a society's basic structure will have profound effects on the lives of citizens. The basic structure will influence not only citizens' life prospects, but more deeply their goals, their attitudes, their relationships, and their characters. Institutions that will have such pervasive influence on people's lives require justification. Since leaving one's society is not a realistic option for most people, the justification cannot be that citizens have consented to a basic structure by staying in the country. And since the rules of any basic structure will be coercively enforced, often with serious penalties, the demand to justify the imposition of any particular set of rules intensifies further.

Rawls's negative thesis starts with the idea that citizens do not deserve to be born into a rich or a poor family, to be born naturally more or less gifted than others, to be born female or male, to be born a member of a particular racial group, and so on. Since these features of persons are morally arbitrary in this sense, citizens are not entitled to more of the benefits of social cooperation simply because of them. For example, the fact that a citizen was born rich, white, and male provides no reason in itself for this citizen to be favored by social institutions.

This negative thesis does not say how social goods should be distributed; it merely clears the decks. Rawls's positive distributive thesis is equality-based reciprocity. All social goods are to be distributed equally, unless an unequal distribution would be to everyone's advantage. The guiding idea is that since citizens are fundamentally equal, reasoning about justice should begin from a presumption that cooperatively-produced goods should be equally divided. Justice then requires that any inequalities must benefit all citizens, and particularly must benefit those who will have the least. Equality sets the baseline; from there any inequalities must improve everyone's situation, and especially the situation of the worst-off. These strong requirements of equality and reciprocal advantage are hallmarks of Rawls's theory of justice.

Beyond

Roemer, John E. "Socialism revised." *Philosophy & Public Affairs* 45 (2017): 261.

Appendix

A1. Why unequal ownership is necessary

Suppose (i) Capital is scarce, (ii) there is a labor market, but (iii) capital is equally distributed. Indeed, in that economy, we could allocate the 500 bushels of corn, giving one half bushel to each of 1,000 peasants (thus, an equal-division-private ownership economy). Each peasant would work up his own capital stock with one-half day's labor, earning a surplus of one-half bushel, and then spend 1.5 days in the Forest gleaning the other half bushel for his subsistence—thus, working two days for one bushel of consumption, while reproducing the capital stock.

Or, we could open a labor market, where some peasants hire others to work up their capital stock, while these 'capitalists' glean in the Forest. The equilibrium wage in this arrangement will be one-third bushel of corn per day. At this wage, any peasant is indifferent between selling his labor power to others and gleaning in the Forest. Consider this arrangement: each of 250 peasants works only in the Factory Farm sector; he works up his own capital stock producing one-half bushel, net of capital replacement; then he works up the capital stock of three other peasants, requiring 1.5 days of labor, thus earning another one-half bushel (since the wage is $w=3$). Thus, each of these 250 peasants has earned one bushel for two days' labor. The other 750 peasants, who are "capitalists," glean in the Forest, each for two days. They collect two-thirds bushel of corn in the forest and earn one-third bushel profit from the worker on their capital stock. Thus, we have the same result as in the economy without a labor market: each works two days for one bushel of corn, and capital is reproduced. There is no exploitation in the Marxist sense, despite the existence of a labor market, and the fact that some peasants hire others and profit from the exchange. This is because the first condition—unequal ownership of the capital stock—fails to hold.